

**States are finding their lanes on AI governance, and those lanes are working. California launched a state-employee-only AI assistant. Maryland is targeting algorithmic grocery pricing. New York killed a chatbot that told businesses to break the law. The question for your state: are you building capacity, or waiting for permission that isn't coming?**

## WHAT HAPPENED THIS WEEK

### **GOVERNANCE** California Launches “Poppy,” State-Only AI Assistant Built for Security

*Multiple sources — Feb. 2026*

California rolled out an AI assistant exclusively for state employees, built to operate within government networks. Named after the state flower, Poppy helps workers navigate bureaucratic processes without exposing government data to commercial AI platforms. This is a third way between banning AI and letting staff use ChatGPT unsupervised: build your own, control the data, limit the exposure.

#### **POLICY RELEVANCE**

Mid-sized states should consider consortium solutions — five states splitting development costs beats five states each getting breached independently. Oklahoma's 34,000 state employees are already using AI tools. The question is whether the state knows which ones.

### **REGULATION** Maryland Advances Bill Targeting Algorithmic Grocery Pricing

*Maryland Senate Finance Committee — Feb. 2026*

SB 387 would prohibit grocers from using algorithmic systems that charge different prices based on personal data profiles — purchase history, location, demographics. The grocery industry argues this is dynamic pricing. Voters don't think surge pricing belongs at the supermarket.

#### **POLICY RELEVANCE**

Similar language is being drafted in Connecticut and Oregon. Have legislative counsel brief you on whether existing Oklahoma consumer protection statutes already cover algorithmic price discrimination — many states' unfair practices laws have broader language than legislators realize.

### **GOVERNANCE** HHS Reclassifies AI Systems as Lower-Risk Than Previously Reported

*Federal agency reports — Feb. 2026*

HHS reported fewer than 1% of its AI systems qualify as “high impact” under federal guidelines, and notably downgraded systems it previously classified as high-risk. This is a federal agency deciding that AI systems affecting healthcare decisions and benefit determinations don't require enhanced oversight.

#### **POLICY RELEVANCE**

Oklahoma's state health IT relies on federal Medicaid systems. If HHS decides an eligibility algorithm isn't “high impact,” your state is still liable when someone's coverage gets wrongly terminated. Ask your state health IT director which federal systems they're using and whether they agree with the risk classification.

## **CAPABILITY** New York Terminates AI Chatbot That Gave Illegal Advice to Businesses

NYC Mayor's Office — Feb. 2026

New York City shut down its business-facing AI chatbot after it repeatedly told business owners to violate labor and anti-discrimination laws. Launched with fanfare, the chatbot became a liability generator. The mayor's office framed the shutdown as budget-related.

### **POLICY RELEVANCE**

Before your city launches an AI assistant, ask: who reviewed the training data? Who's liable when it's wrong? How do you test it? NYC didn't have good answers. Oklahoma's municipal governments face the same pressure. A chatbot that tells people to violate the law isn't innovation — it's negligent outsourcing.

## **LABOR** States Move on AI Therapy Chatbot Regulation Following Suicides

Multiple state legislatures — Feb. 2026

Multiple states are advancing bills to regulate AI-powered mental health chatbots after several suicides raised alarm. The bills generally prohibit chatbots from diagnosing mental illness or providing crisis intervention without human oversight. The challenge is scope: exemptions for “general purpose” tools create loopholes.

### **POLICY RELEVANCE**

Oklahoma ranks 48th in mental health provider access. AI chatbots are filling gaps the system can't — but without oversight, gap-filling becomes dangerous. SB 1521 in the current legislature addresses some of this.

## **SIGNAL / NOISE**

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### **SIGNAL: States building AI governance frameworks regardless of federal posturing.**

At least six states are building AI inventory and impact assessment requirements for state agencies. Quieter than consumer bills but more significant. States that know what AI they're using can govern it. States that don't are guessing.

### **NOISE: Federal preemption threats on state AI regulation.**

The Trump executive order attempting to override state AI laws has, predictably, emboldened rather than deterred state legislative activity. States are filing AI bills at 2025's pace. The executive order can't preempt state law — only Congress can, and Congress declined to.

## **BY THE NUMBERS**

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# <1%

Percentage of HHS AI systems classified as “high impact.” Federal agencies are defining AI risks away to avoid oversight. Your state's legal liability doesn't disappear when they do.

# 46 states

Filed AI-related legislation in 2025. Oklahoma was among them. The question isn't whether states will govern AI — it's whether they'll do it well.

## **FROM THE ANALYSTS**

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*The California Poppy model is worth studying — not because Oklahoma should copy it, but because it clarifies the choice. California has the budget and tech talent to build its own AI tools in-house. Oklahoma doesn't, and doesn't need to pretend otherwise. But the principle is right: states that control their own AI infrastructure control their own data. The regional consortium model — five or six states jointly building shared AI tools — is the realistic path for states like Oklahoma.*

*Meanwhile, New York's chatbot disaster is the cautionary tale of the season. The pressure to “do something with AI” is real, bipartisan, and coming from the top. But doing something badly is worse than doing nothing. For Oklahoma's cities and agencies: pilot carefully, test thoroughly, keep a human in the loop. This isn't the place to move fast and break things.*

— David & Æ

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